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FIBONACCI

types that Create the Most Precise
Price Targets and Reversal Zones

How to Become the Casino using **FIBONACCI**

Hi, I'm Tom Winterstein, MBA | ChartPros founder & Certified Mental Performance Coach.

I grew up in a small upstate NY town named Binghamton, I remember back in college during my undergrad days at SUNY Broome and then later at the University of South Carolina during the 1980s sitting through many different math and statistics classes wondering if I would ever really need to know these things like moving averages, standard deviations, Fibonacci series, etc. to work in the real world...



And while I always got good grades in math classes for as long as I can remember I secretly concluded that even though I enjoyed all math classes that I probably wasn't ever going to use any of these math concepts again.

And for the better part of a decade that turned out to be true until I started trading using Price Action Technical Analysis which initially, I never believed in until I realized the math behind it!

Now, don't get me wrong... a trader doesn't have to be good at or even like math to properly use Fibonacci levels on their charts. But what many traders don't realize is that it's all about the math (think probabilities) when it comes to finding edges and trading them.

Thankfully every charting platform out there does the math for you, you just have to understand how to apply it.

Sometimes that's easier said than done so that's why I created this free Fibonacci guide for traders like you.

About the only thing guaranteed in the markets is that price cycles. It cycles up, and it cycles down. Across all charts and across all time frames.

What's important to really know and how to do as a trader is to benefit from market cycles. In this guide I'm going to show you how to use Fibonacci to anticipate levels and zones where price can turn as it cycles.

What's not important is predicting cycle tops or bottoms. Let me repeat that: What's not important is predicting cycle tops or bottoms because as traders we can still identify levels of interest using Fibonacci even when they're not the cycle top or bottom!

Fibonacci, often referred to as "Fibs", are one of the most commonly used tools in Price Action Trading for trending markets in helping create measured price movements which can assist you in creating bi-directional future levels of interest and anticipate trend reversal zones.

However, Fibs are often used incorrectly by traders causing lost or missed opportunities.

Why do we think that is? Because most Fibs that we see posted on the internet are not drawn or used correctly and we realize that most traders didn't learn from institutional traders that understand how the trading algorithms are developed and used by professional traders

There are many free Fibonacci resources for traders to be found online. Most explain who Mr. Fibonacci was and go into in-depth mathematical explanations. And that's fine, but in reality, knowing that information won't help you become a better trader so we're going to cut right to the chase and reveal only the necessary information that you can start using on your very next trade!

This guide will explain to you exactly what Fibonacci retracements and extensions are and how they should properly be used on your charts.

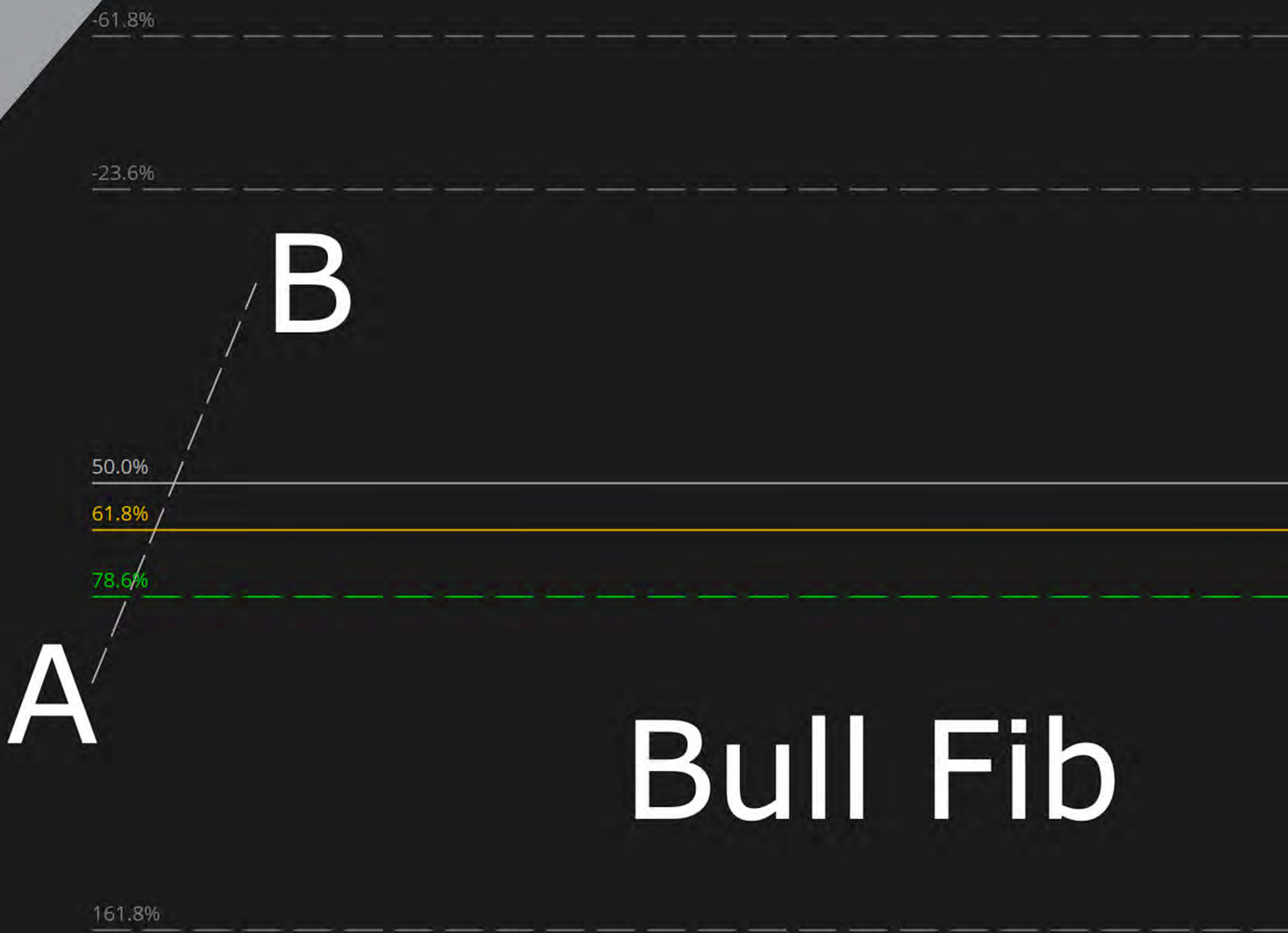
First and foremost, Fibonacci is a **Trending Tool** to identify potential reversal and extension levels in price action across any time frame. These price reversals, referred to as retracement levels, can be used for both bullish and bearish trends for trade entries and stop loss levels. Price extensions, referred to as "targets" can be used for profit taking, stop losses, and completions for what are called "measured moves."

In many cases, using fibs can accurately provide precise levels where price may reverse but more importantly using fibs can provide “zones of interest” where price may change direction. Knowing how to chart these levels and zones can provide potential trade entry levels, stop loss levels, and fib completions levels referred to as profit targets.

The most commonly used Fibonacci drawing is known as the “Swing Fib” which virtually “every trader in the world” that uses Fibs will have on their charts.

Now, let’s reveal all the different types of Fib retracements that you can use on your charts:

- 1** Swing Fib
- 2** Impulse Fib
- 3** Validated Fib
- 4** Sequence Fib
- 5** ABCD Fib
- 6** Advanced Fib using high to high and low to low anchors



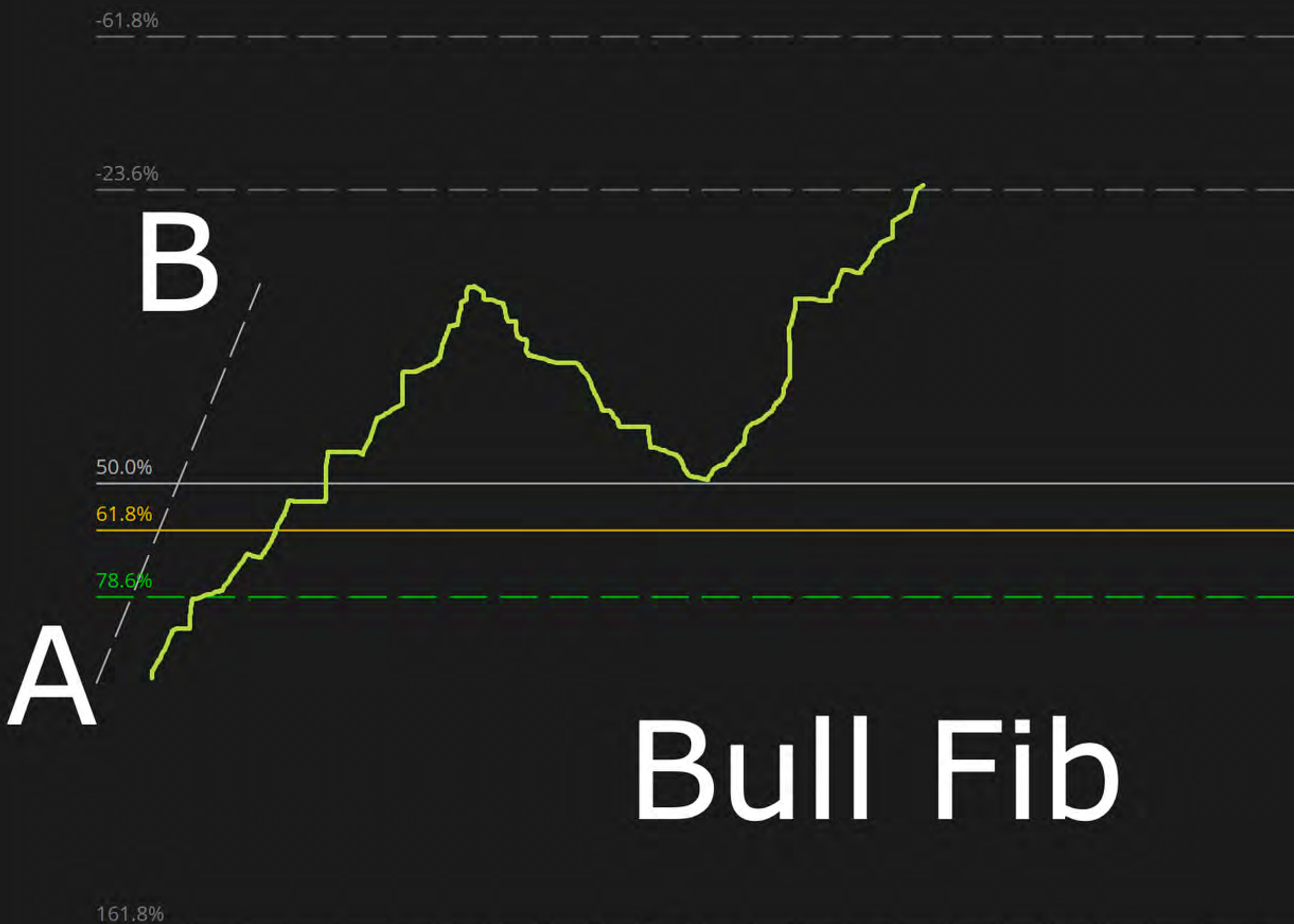
Bull Fib

Next, let's reveal the major Fib retracement levels needed on your chart.

The first chart is considered a Bull Retracement drawing where the Fib anchors are positioned from a low price (A) to a high price (B) with these retracements 50%, 61.8%, 78.6%. These are levels or area where price could retrace back to after traveling from point A to point B.

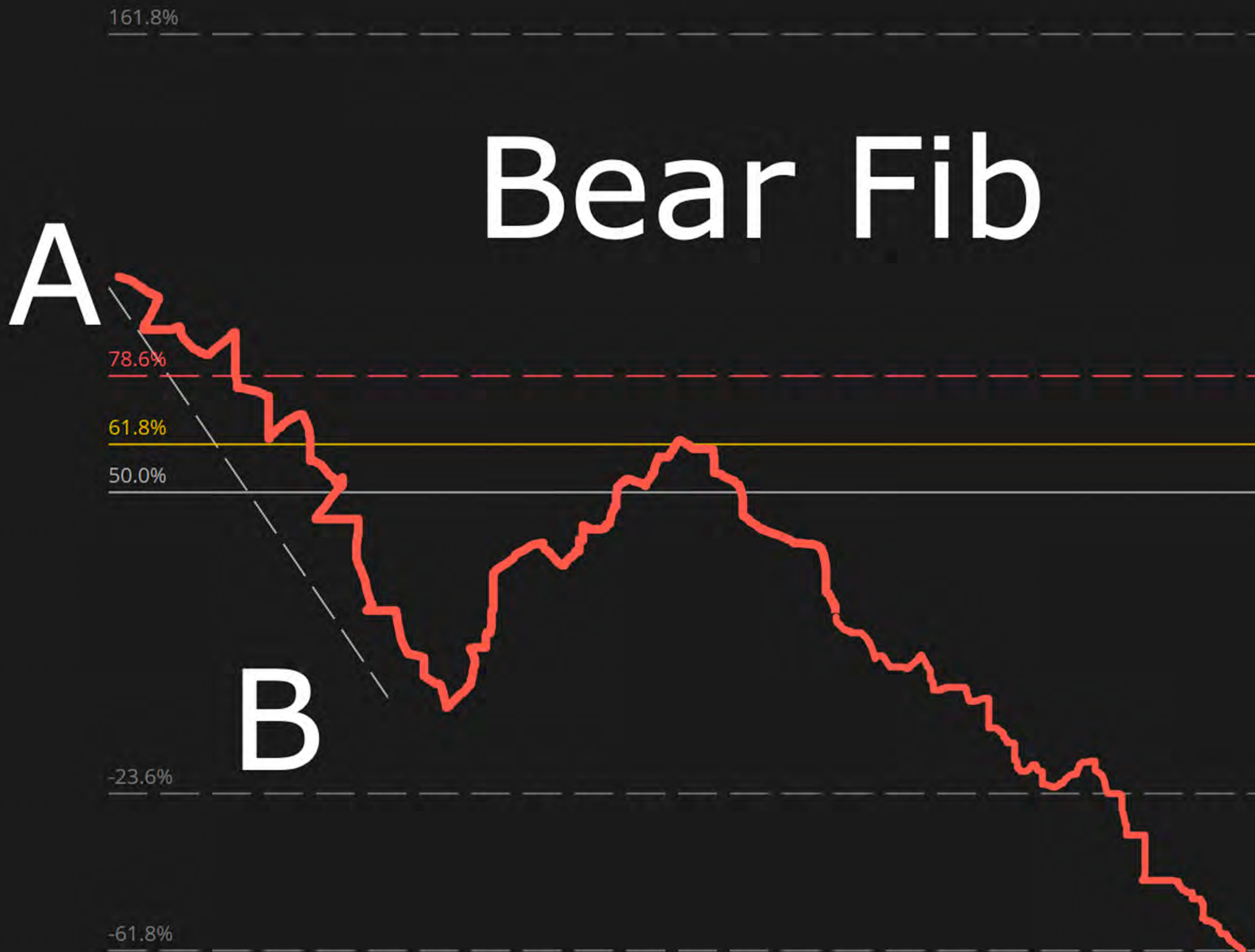
The -23.6% (Target 1) and -61.8% (Target 2) are considered the "Measured Move" levels if the price does in fact hold at one of the defined retracement levels. In many cases the retracements can be to the exact tick or wick by them. This is known as a "level fill"

In this scenario you can see that price traveled from point A to point B. Then price retraced back down to the 50% Fib level and filled before continuing its upward trend. If price continues on its upward path and goes above price level B then the first anticipated target becomes the - 23.6%.



Bull Fib

This next chart is considered a Bear Retracement drawing where the Fib anchors are positioned from a high price (A) to a low price (B) with these retracements 50%, 61.8%, 78.6%. These are levels or area where price could retrace back to after traveling from point A to point B.



The -23.6% (Target 1) and -61.8% (Target 2) are considered the “Measured Move” levels if the price does in fact hold at one of the defined retracement levels. In many cases the retracements can be to the exact tick or wick by them. This is known as a “level fill”

Bear Fib

A

161.8%

78.6%

61.8%

50.0%

B

-23.6%

-61.8%

In this scenario you can see that price traveled from point A to point B. Then price retraced back up to the 50% - 61.8% Fib Zone and filled before continuing its downward trend. If price continues on its downward path and goes below price level B then the first anticipated target becomes the -23.6%. If the downward trend continues even further then the next anticipated target becomes the -61.8%.

General Guiding Principles for Bull and Bear Fibs

- The Fib colors are arbitrary, the math levels are not!
- Where to place the anchors is very important and I'll show you exactly where to place them
- The 61.8% retracement is referred to as the "Golden Ratio" and can act as a magnet for price retracements
- If a trend is going to continue, its retracement and subsequent turn most often occurs at or between the 50%, 61%, or 78.6%. This is like knowing how magic is done!
- Once one of these levels is passed that level is considered "breached" and is no longer active and can be removed or hidden from your chart
- **Fib anchor placement is critical!** Let me repeat that: Fib anchor placement is critical! And I'm going to show you only what you need to know to properly use Fib anchors for each Fib type.

FIB TYPES REVEALED

SWING FIBS

Traditional Low to High - Figure 1 displays a Traditional Bull Swing Fib with low (A) to high (B) anchors used in up trending or bullish price action. In this scenario you can see how price retraced exactly to the 50% Fib bull retracement level before reversing back to the upside. No one can guarantee or predict in advance with certainty that any level will produce a reversal however the Fib retracement levels can provide anticipated or potential levels from which a trader can decide to trade from or not.

Figure 1



Traditional High to Low - Figure 2 displays a Traditional Bear Swing Fib with High (A) to Low (B) anchors used in down trending or bearish price action. In this scenario you can see how price retraced to the 50% Fib bull retracement level and reversed back to the downside. No one can guarantee or predict in advance with certainty that any level will produce a reversal however the Fib retracement levels can provide anticipated or potential levels from which a trader can decide to trade from or not.

Figure 2



IMPULSE FIBS

Impulse low to high anchors are placed at intermediate low / high to capture the last major component of the trend. Figure 3 displays a Bull Impulse Fib.

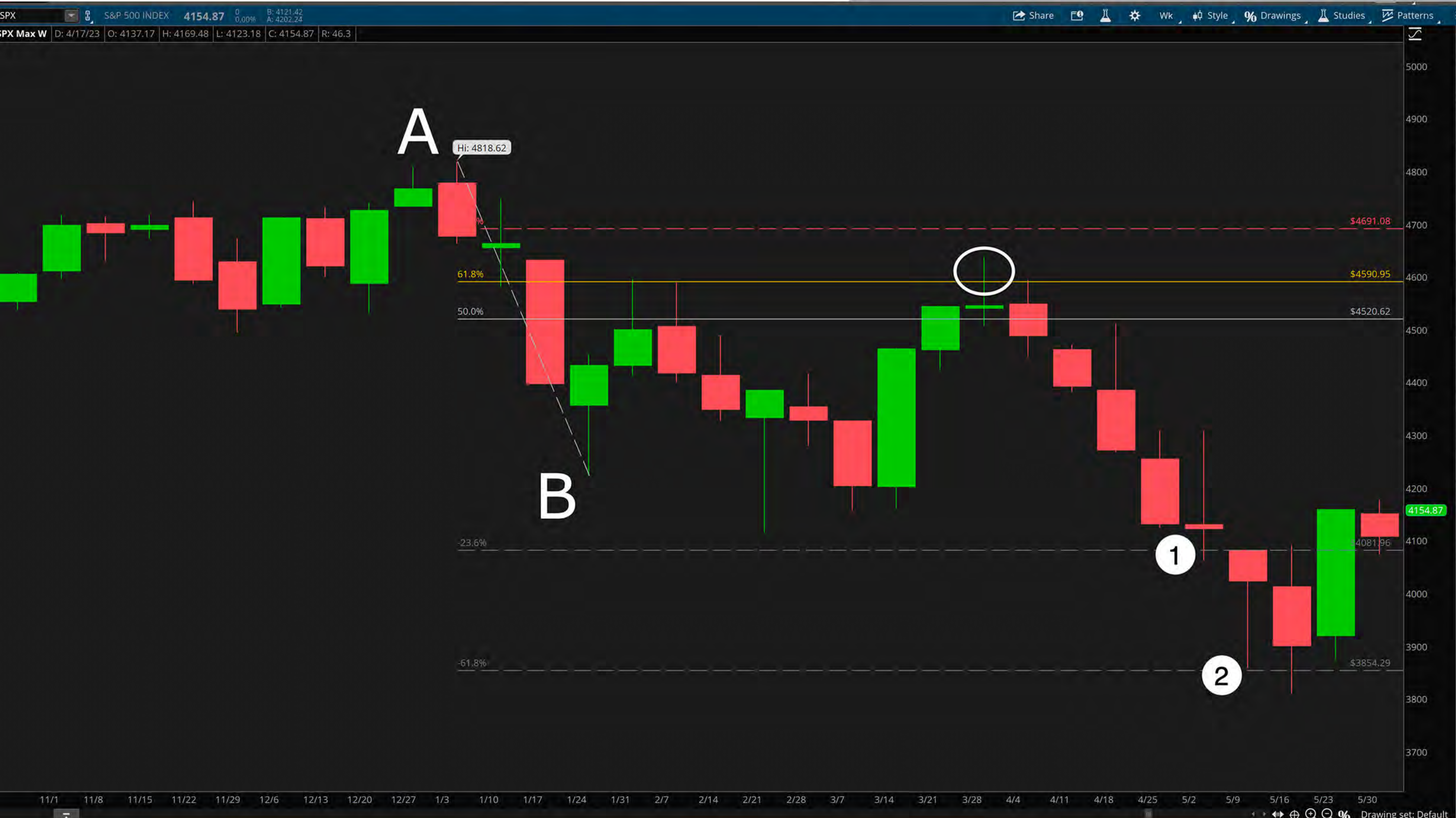
Figure 3



For a Bear Impulse Fib you would identify and place high to low anchors at intermediate high / low to capture the last major component of the trend.

Figure 4 displays an Impulse high to low fib with a fill to the 61.8% level and continued downtrend to completions and fills of target 1 (-23.6%) and target 2 (-61.8%)

Figure 4



VALIDATED FIB AND SEQUENCING

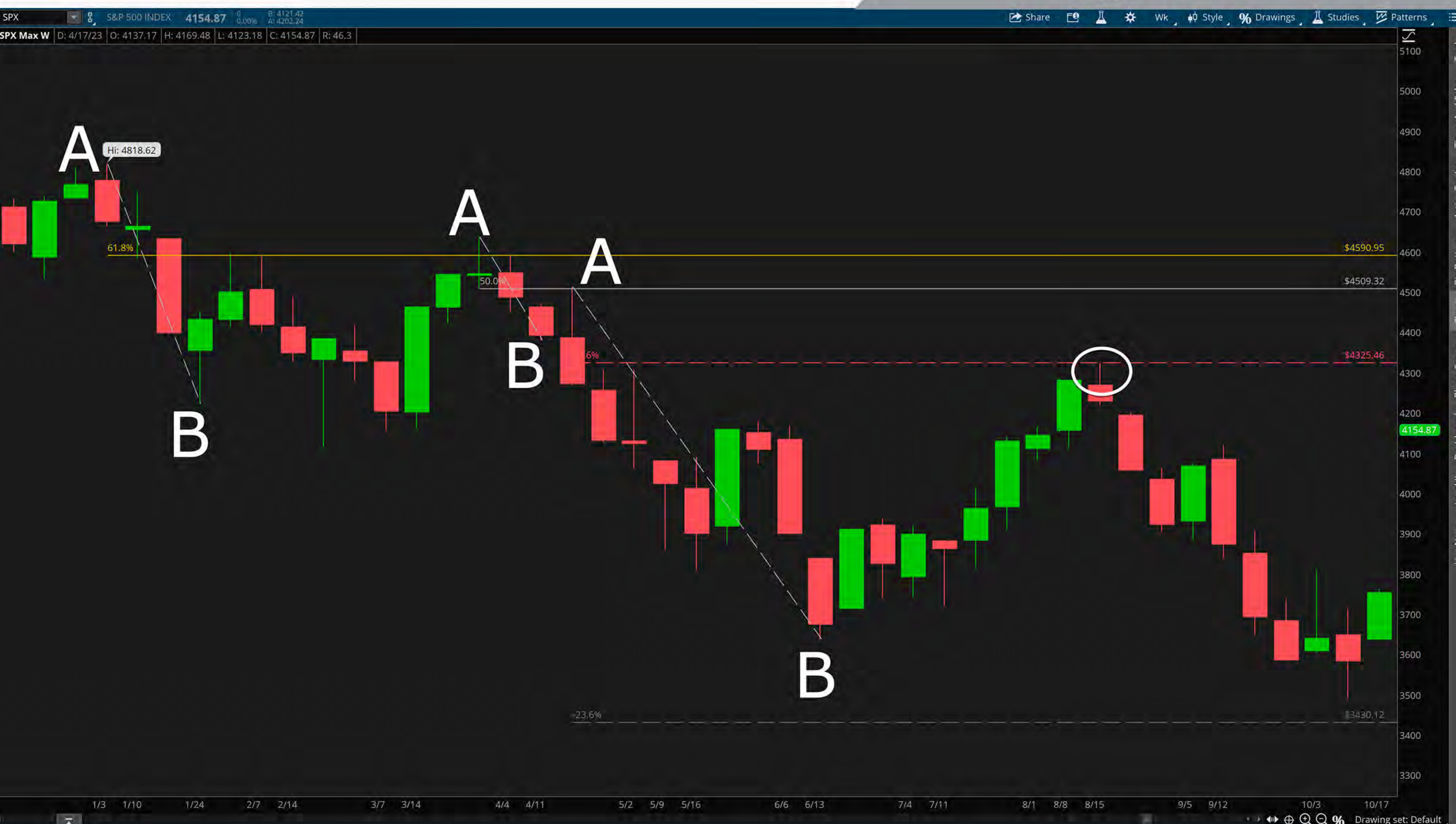
Figure 5 displays one of the more complex Fib scenarios but one that can produce more trade opportunities than the others. Like in baseball when a hitter is up with the bases loaded, there is more opportunity to score than with the bases empty...

In this chart I've used a combination of Fibs previously covered in sequence to identify precision oriented levels of interest. The first A-B Bear Fib is a Swing Fib. Because there was a "level fill" at the 61.8% Golden Ratio retracement I am then mathematically allowed to use that as an anchor level for what was then the second Bear Swing Fib in this sequence. Again because of the "level fill" I'm now allowed to use a third Bear Fib Impulse Fib which produces an exact turn back to the downside at the 78.6% retracement.

Without knowing these different Fib types and knowing why and where to properly place the next set of anchors in the sequence price would appear to randomly turn in what is often called "no man's land" or the middle of nowhere. Whenever I see this I realize that there is an "Active Fib" in play that I haven't yet identified so I go thru Fib Sequencing until I find it.

Sometimes that can be tricky but ultimately I can always find it!

Figure 5

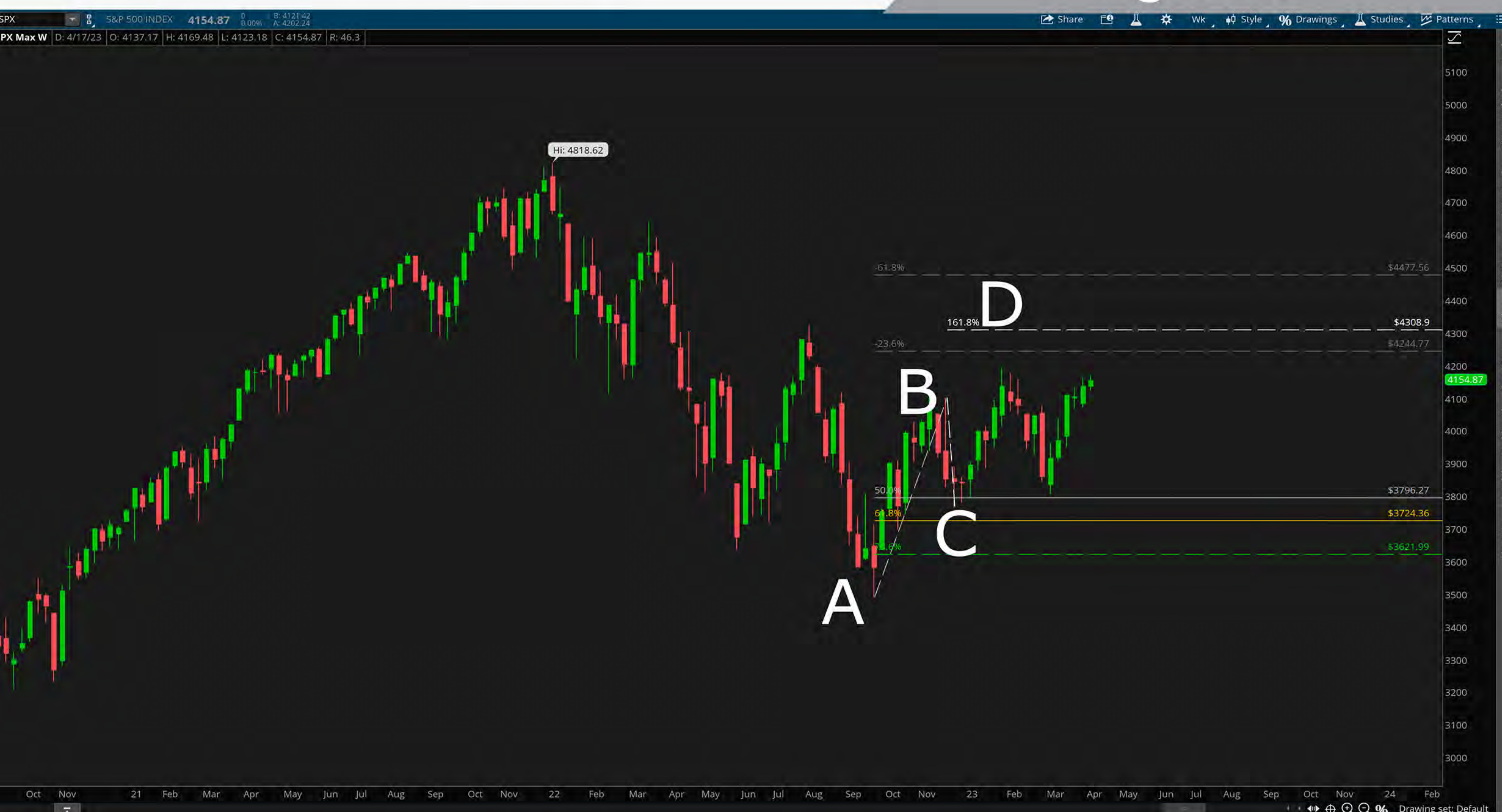


ABCD FIB

Now in Figure 6 I'm going to introduce and add the "next leg" to the A-B Fib anchors and that's called the C-D leg. You can see I've added a High to Low Bear Fib with anchors B and C. In this scenario price has breached the Bear 50%, 61.8%, and the 78.6% retracement levels so they have been turned off however the 161.8% level is left on. Essentially this is the inverse distance price traveled between the B-C anchors.

Look closely and you'll notice that the 161.8% level falls between the A-B Bull Fib -23.6% and -61.8% target levels thus providing yet another mathematically oriented price target known as the ABCD completion! This can be very helpful when the price distance between the -23.6% and -61.8% target levels seems pretty wide. So now we have yet another mathematically oriented level to use for trade management such as a profit target, stop loss, but as a best practice NEVER used for trade entry.

Figure 6



ADVANCED FIB HIGH TO HIGH

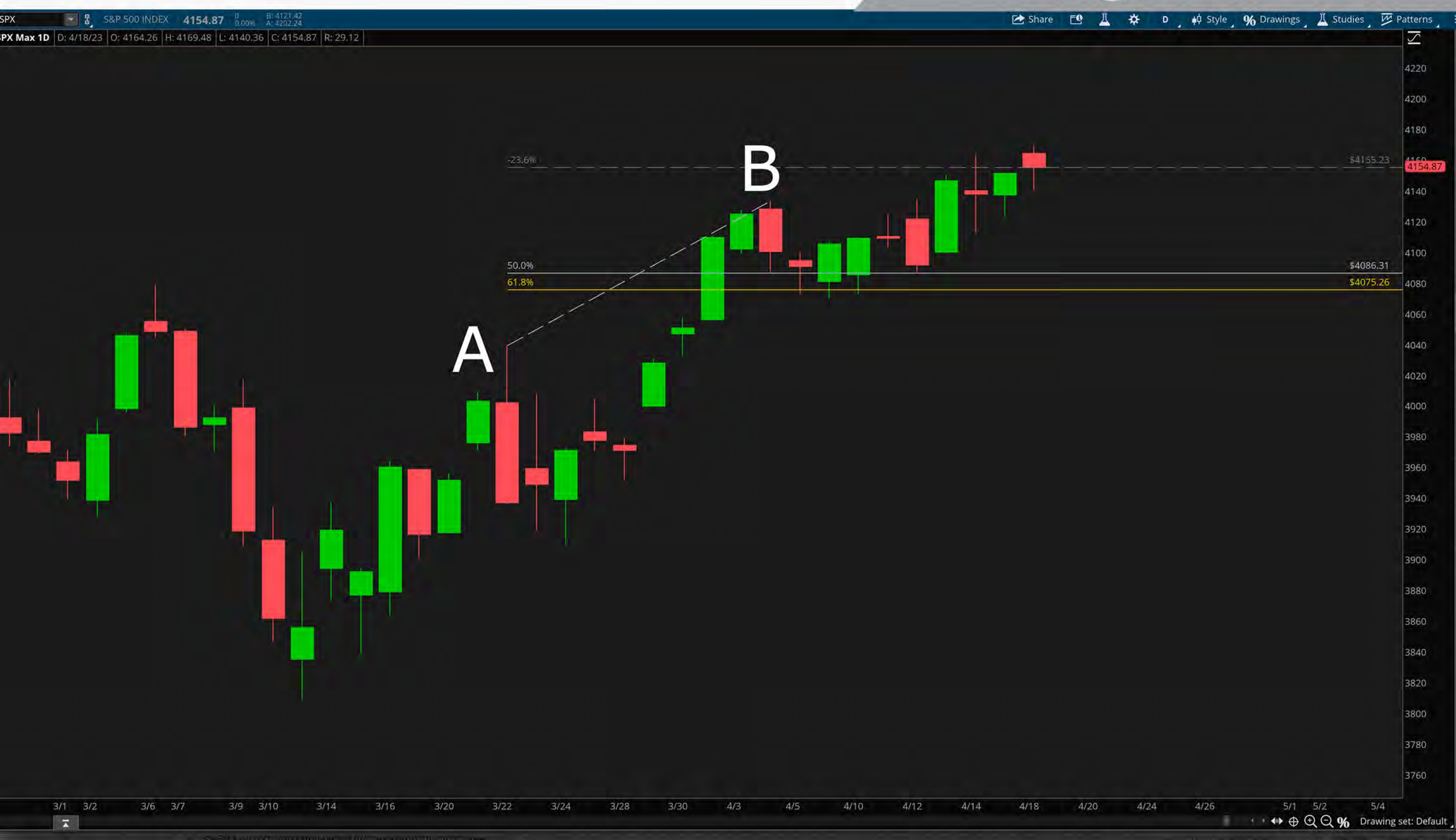
Advanced Fibs are used by institutional algorithms in very fast trending markets in either direction. Without knowing what I'm about to show you next makes it seem like playing chess against a computer that is designed to win virtually every time.

There are a few conditions that must be met without exception in order to identify and properly use these Advanced Fib strategies:

- Price must be aggressively trending with what appears to be shallow retracements that never make it at a minimum to the 50% retracement level.
- Price must cross above "significant level" such as a well defended support/resistance level which could be all time highs or all time lows.
- Only the 50% and 61.8% retracement levels are used.
- For high to high (H2H) bull trending markets the A-B anchors are placed on high to high (H2H) as shown in Figure 7
 - Anchor A is placed where the last sell off occurred
 - Anchor B is placed at the first high after crossing the significant level after price turns back to the downside

Figure 7 is an Advanced H2H Fib where anchor A is placed at the top of the last sell off before price advanced past the previous high (significant level). Anchor B is placed at the first high above the cross of the significant level. When this technique is properly used more times than not price if the trend is going to continue it will produce a precise retracement to or between the 50% and 61.8% levels before continuing up to price target 1 the -23.6% level. Figure 7 is considered a “text book” case for using a H2H Fib that leaves most traders bewildered and sitting on the sidelines or randomly chasing price action.

Figure 7



ADVANCED FIB LOW TO LOW

- For low to low bear trending markets the A-B anchors are placed on low to low (L2L) as shown in Figure 8
 - Anchor A is placed where the last buy out occurred
 - Anchor B is placed at the first low after crossing the significant level and turning back to the upside

Figure 8 is an Advanced L2L Fib where anchor A is placed at the bottom of the last buy out before price advanced past the previous low (significant level). Anchor B is placed at the first low below the cross of the significant level. When this technique is properly used more times than not price if the trend is going to continue it will produce a precise retracement to or between the 50% and 61.8% levels before continuing down to price target 1 the -23.6% level. Figure 8 is considered a “text book” case for using a L2L Fib that leaves most traders bewildered and sitting on the sidelines or randomly chasing price action.

Figure 8



PUTTING IT ALL TOGETHER – FIB STACKING

Fib stacking is a scenario where a combination of bear and bull fibs are used on any chart. When the retracement levels of a bear fib overlap at the same levels of a bull extension level, or completion, this is known as “Fib stacking.”

Fib stacking typically provide traders with levels that are more likely to hold than not. As I've previously stated nothing is guaranteed in the markets other than long term cycles.

Figure 9 shows the same chart we've been working with all along only in this case I've put it all together for you to define bi-directional levels of interest. So depending on your trading style, risk management practices, and availability to trade when price reaches a level of interest you now are equipped to take control of your charts! Using Fibonacci combined with other price action tools such as support/resistance, trend, change control zones, and supply/demand zones traders can identify the best possible scenarios, levels, and zones to anticipate future price direction.

Figure 9



CONCLUSION - NEXT STEPS

One of the most important things I recommend to traders is to practice marking up their charts, and in this case with Fibonacci. In almost all cases a trader can review historical price movement on any chart and identify the Fibonacci levels that worked. Or as I like to say, the “active Fibs.”

So practice. And practice a lot. Just like an athlete practices their skill set prior competing in a game or match traders should practice charting. I suggest charting beginning at the monthly time frame and work down from there.

Depending on your trading style and preferred time frames you can practice charting across all these time frames:

- MONTHLY
- WEEKLY
- DAILY
- 4-HOUR
- 1-HOUR
- 15-MINUTE

I also advise saving each time frame to a “chart library” so you can easily retrieve it anytime you’d like.

As a best practice I have found that a 4-hour chart is a solid foundation for intraday trading.

Like many traders that I introduce these 6 Fibonacci types to they ask for more information, training, and real life examples.

So we’ve created an online self-paced Fibonacci course!

This is a dynamic hands-on online course that includes a structured curriculum of self-paced lessons plus a number of live webinar session recordings designed to help you progress through the course and apply what you learn.

The course modules are led by Michael Perrigo a 17+ year retail trading veteran who has mastered the art and science behind Equities, Futures, Commodities, and Forex charting structure and has a knack for teaching complicated strategies and making them simple for any new and or experienced trader to understand. His charting capabilities and trade execution against them has made him a remarkably consistent trader over the years!

The webinars are led by Tom Winterstein who has over 20 years of trading experience and is also a certified mental performance coach.

Who is this course for?

- Beginning, intermediate, advanced or experienced traders Swing or Day traders
- Crypto, Equities, Options, Indices, Forex, Commodities, NADEX traders
- Traders who want to improve their confidence and consistency

FIBONACCI COURSE OUTLINE

Fibonacci Fundamentals

Fibonacci, often referred to as “Fibs”, is one of the most commonly used tools in Price Action Trading for trending markets in helping create measured price movements which can assist you in creating future levels of interest and anticipate trend reversal zones. However, Fibs are often used incorrectly by traders causing lost opportunities. We’ll show you how to correctly set anchor points for swing fibs, impulse fibs, validated fibs, and advanced fibs.

Intraday Fibonacci - We'll introduce you to traditional bull low to high swing Fibonacci concepts and real world examples used within trending markets to create potential trade entry levels. We'll also explain the most commonly applied retracement levels used by millions of traders around the world so that you can spot potential reversal areas on your chart.

Intraday Fibonacci - Part 2 - We'll expand on the traditional bull low to high Fibonacci concepts and demonstrate the target levels to use for Fibonacci price extensions and completions to pinpoint and anticipate trade management exit levels.

Introducing Momentum Indicators - We'll introduce and discuss how to use momentum indicators such as a stochastic oscillator as an additional validation tool on your charts to support potential levels of trade entries.

Divergence - In this lesson we'll define divergence and "hidden" divergence which is a scenario when price movement and momentum movement are not moving together and how to benefit when you identify this scenario on your chart.

Fibonacci Live Webinar - Join us for a 70-minute, instructional webinar to deepen your understanding of Fibonacci with Tom Winterstein, Founding Trader at ChartPros

Advanced Fibonacci Anchors

Advanced Fibonacci - We'll discuss advanced high to high and low to low Fibonacci concepts to identify potential trade setups for entry and target exit levels in fast aggressive trending markets.

Advanced Fibonacci - Part 2 - We are going to use specific examples from Forex/Futures Swing Trading to uncover where price patterns may lie and identify potential reversal zones using higher timeframe analysis.

Fibonacci Validation - Using multiple Fibonacci sequences coming out of strong reversal zones we will explain the concept of validated Fib levels to help you pinpoint proper fib anchors to use for creating precise price levels for potential long and/or short trade entries.

Fibonacci Validation - Part 2 - Using multiple fib sequences we'll showcase the types of price movement to look for when there aren't strong reversal zones so you can define edges to formulate a trade plan within a defined range. This can be especially helpful with creating structure to target trade entries, profit levels, and stop loss management.

Fibonacci Sequence Validation - We'll analyze and showcase fib sequence validation demonstrating precision and cleanliness when creating trade plans. The accuracy of this concept when applied on a chart is astonishing to see!

Advanced Fibonacci Live Webinar - Join us for a 70-minute, instructional webinar to deepen your understanding of Advanced Fibonacci with Tom Winterstein, Founding Trader at ChartPros.

Over 4000+ traders have taken ChartPros courses and for the first time ever we're offering this Fibonacci course as a stand-alone course. Until now, this information was only available in our Price Action Mastery Certification course.

As you'll see we've bundled:

- Fibonacci Guide – 6 Fibonacci Types that Create the Most Precise Price Targets and Reversal Zones **(a \$99 value)**
- Fibonacci Online Course **(a \$499 value)**
 - o Fibonacci Fundamentals
 - o Advanced Fibonacci Type
 - o Fibonacci Knowledge Checks
 - o Fibonacci Homework Assignments (optional)
 - o Putting It All Together Fibonacci Webinar Replays
- BONUS: 7-Day Free Trial to ChartPros Trade Room where Michael Perrigo and Tom Winterstein post their personal charts. 15+ per day! **(a \$95 per month value)**

Altogether these total \$693 in value but for a limited time available to you for only \$47!

BUY NOW

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